

25STCV33736 25STCV33736

County: los-angeles

Division: Civil Law and Motion

Department: 514

Hearing date: 2026-07-20

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C514%2C07%2F20%2F2026

Source SHA-256: de7f8a7a958381af6c5cda86f5b65a87a4a4a51c3ca9f48762d74a9246bf492b

Case Number: 25STCV33736 Hearing Date: July 20, 2026 Dept: 514

Hernandez v. General Motors, LLC

25STCV33736

Demurrer filed by Defendant General Motors, LLC.

Tentative

The demurrer is overruled.

Background

This case arises out of the purchase of a 2023 GMC Sierra 1500 (the "Vehicle") by Plaintiff Raymundo Hernandez ("Plaintiff").

On November 18, 2025, Raymundo Hernandez ("Plaintiff") filed the complaint in this action.

On April 30, 2026, Plaintiff filed a First Amended Complaint (the "FAC"), naming as defendants General Motors, LLC ("Defendant") and Does 1 through 10, and asserting causes of action for: (1) violation of subdivision (d) of Civil Code section 1793.2, (2) violation of subdivision (b) of Civil Code section 1793.2; (3) violation of subdivision (a)(3) of Civil Code section 1793.2; (4) breach of the implied warranty of merchantability (Civil Code sections 1791.1, 1794, and 1795.5); and (5) fraudulent inducement – concealment.

On May 11, 2026, Defendant filed this demurrer to the FAC. Plaintiff filed an opposition on June 11, and Defendant filed a reply on June 15. The hearing on the demurrer was initially scheduled for June 25 and was continued by the Court to July 20, 2026.

The case is set for trial on April 24, 2028.

Legal Standard

Code of Civil Procedure section 430.10 provides:

“The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

...

(e) The pleading does not state facts sufficient to constitute a cause of action. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (*Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388; *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (*Centinela Freeman Emergency Medical Associates v. Health Net of California* (2016) 1 Cal.5th 994, 1010; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; accord *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 924; *Marina Pacific Hotel and Suites v. Fireman's Fund Insurance Company* (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Marina Pacific Hotel and Suites*, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading

must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also C.A. v. William S. Hart High School Dist. (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint “is sufficient if it alleges ultimate rather than evidentiary facts.” (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (Estes v. Eaton Corp. (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 Weil & Brown, supra, ¶ 6:124.)

A plaintiff is required to plead only “the essential facts of [its] case” that are sufficient “to acquaint a defendant with the nature, source and extent of [the] cause of action.” (Doe, supra, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (Id. at p. 551 fn. 5.) But a plaintiff need not allege “each evidentiary fact that might eventually form part of plaintiff’s proof” at trial. (C.A., supra, 53 Cal.4th at p. 872.)

A demurrer can be sustained only when it disposes of an entire cause of action. (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when “there is a reasonable possibility that the defect can be cured by amendment.” (Centinela Freeman, supra, 1 Cal.5th at p. 1010; Blank, supra, 39 Cal.3d at p. 318; Shaeffer v. Califia Farms (2020) 44 Cal.App.5th 1125, 1145.)

Meet

and Confer

Before a demurrer is filed, the parties must “meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc. § 430.41, subd. (a).) This requirement is met. (Perez Decl., ¶ 2.)

Discussion

Defendant

demurs to Plaintiff’s Fifth Cause of Action for fraudulent inducement – concealment on the following grounds: (1) that Plaintiff fails to allege in the FAC sufficient facts to state a cause of action for fraudulent concealment (Mem., at pp. 9-14); and (2) that the fraudulent concealment cause of action is barred by the economic loss rule (Mem., at pp. 15-16).

Failure to Allege Facts Sufficient to State a Cause of Action for Fraudulent Concealment

The elements of a cause of action for fraudulent concealment are:

“(1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.”

(Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40; see also Boschma v. Home Loan Center (2011) 198 Cal.App.4th 230, 248; Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868.) “California case law ... has viewed fraud by concealment on equal footing with fraud by affirmative misrepresentation.” (Rattagan, supra, 17 Cal.5th at p. 39.)

A plaintiff must plead fraud with particularity. (Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979, 993; Lazar v. Super Ct. (1996) 12 Cal.4th 631, 645; Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1090-1092.) This rule applies to causes of action for fraudulent concealment. As our Supreme Court has explained:

"If the duty [to disclose] allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts ..., the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission."

(Goodman v. Kennedy (1976) 18 Cal.3d 335, 347.)

"[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient." (Ibid; see also Rattagan, supra, 17 Cal.5th at pp. 43–44.)

Plaintiff has alleged a fraudulent concealment with sufficient particularity. In the FAC, Plaintiff alleges (among other things) that there were defects with the Vehicle and its 3.0L engine. (FAC, ¶ 9.) Plaintiff alleges that, prior to his acquisition of the Vehicle, Defendant acquired knowledge of the defect through sources not available to consumers including "pre-releasing testing data; early consumer complaints about the Engine Defect to Defendant GM's dealers who are GM's agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant GM and its agents. Nevertheless, Defendant GM and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter." (FAC, ¶ 66.) Plaintiff alleges that Defendant knew of the defect and its safety risks prior to the sale of the Vehicle and concealed them before and at the time of the sale and repair. (FAC, ¶ 68.) Plaintiff alleges he would not have purchased the Vehicle had he known of the defect. (FAC, ¶ 69.) These allegations, and others in the FAC, are sufficient to state a cause of action against Defendant for fraudulent concealment. As to those facts alleged on information and belief, the pleading sufficiently sets forth the basis for

Plaintiff's belief. (See *Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158–1159.)

Defendant also argues that Plaintiff has not sufficiently alleged a basis for a duty to disclose. Fraudulent concealment is actionable only when there is a duty to disclose.

"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances. Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large."

(*Rattagan*, supra, 17 Cal.5th at pp. 40–41; see also, e.g., *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312; *SCC Acquisitions v. Central Pacific Bank* (2012) 207 Cal.App.4th 859, 860; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–37.)

Plaintiff sufficiently alleges in the FAC that Defendant had superior knowledge regarding the alleged engine defects in the Vehicle (as set forth above). Nonetheless, Defendant argues, there was still no duty to disclose because there is no direct dealing between Defendant and Plaintiff alleged in the FAC. Defendant argues that it had no duty to disclose the (alleged) fact of the (allegedly) known defect in the Vehicle because Plaintiff did not purchase the Vehicle

directly from Defendant and there was no direct transaction between Plaintiff and Defendant. But Defendant overstates, to at least some degree, the relationship required to give rise to a duty to disclose.

California law has long recognized that a seller “has a duty to disclose material facts not only to immediate purchasers but also to subsequent purchasers when the [seller] has reason to expect that the item will be resold.” (OCM Principal Opportunities Fund v. CIBC World Markets Corp. 157 Cal.App.4th 835, 859 [sale of securities]; accord *Geernaert v. Mitchell* (1995) 31 Cal.App.4th 601, 605–09 [real estate]; *Barnhouse v. City of Pinole* (1982) 133 Cal.App.3d 171, 192–93 [real estate]; cf. Restatement (Second) of Torts, § 533 [recognizing that a fraud cause of action can be based on an indirect misrepresentation].)

The recently decided case cited by Defendant, *Bjoin v. J-M Manufacturing Co.* (2025) 113 Cal.App.5th 884, is not to the contrary. In *Bjoin*, our Court of Appeal reaffirmed and applied the general rule that there is no duty to disclose between a defendant and “the public at large.” (113 Cal.App.5th at pp. 902-904.) But that is not what Plaintiff is alleging here. Rather, liberally construing the complaint, and drawing all reasonable inferences in favor of Plaintiff, Plaintiff sufficiently alleges not a direct transaction with Defendant but an indirect transaction, in which Defendant manufactured or distributed the vehicle, with the understanding and reasonable expectation that its vehicles (including the Vehicle) would be resold to consumers (including Plaintiff) through Defendant’s authorized dealers. (See, e.g., Compl., ¶¶ 4, 7, 8.) Accordingly, the requirement of a relationship giving rise to a duty to disclose is, at least as a matter of pleading, satisfied here.

The Court notes that it has reviewed, but has not relied on, the Court of Appeal decision in *Dhital v. Nissan North America* (2022) 84 Cal.App.5th 828. This case plainly supports the position of Plaintiff, but it is unclear whether it is good law: our Supreme Court granted review, held the case, and then dismissed the review and remanded after the decision in *Rattagan*, *supra*.

Economic Loss Rule

Defendant argues that Plaintiff's fraudulent concealment cause of action is barred by the "economic loss rule" or is otherwise not sufficiently distinct from a contract or breach of warranty cause of action. Plaintiff alleges, however, that he was induced to enter into a contract based on fraudulent concealment of material facts; such a cause of action remains viable even if Plaintiff either did allege or could have alleged a cause of action for breach of contract or breach of express warranty. As our Supreme Court recently explained in *Rattagan*, "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (*Rattagan*, supra, 17 Cal.5th at p. 38.) Although *Rattagan* does limit, to some extent, the availability of tort remedies for fraud "in the performance of a contract" (*Ibid.*), it does not limit tort remedies when the cause of action is "for fraudulent inducement" (*Id.* at p. 41.)

"Fraudulent inducement of contract ... is not a context where the traditional separation of tort and contract law obtains. ... [W]here a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for fraud."

(*Id.* at p. 41 [quoting *Lazar*, supra, 12 Cal.4th at p. 645].)

As Plaintiff's fraud cause of action for fraudulent inducement, not fraud in the performance of a contract, the *Rattagan* decision affirms, rather than limits, the ability of Plaintiff to proceed in tort on his fraudulent concealment cause of action.

Accordingly,
the demurrer is overruled.

Conclusion

The
Court OVERRULES the demurrer filed by General Motors, LLC.

Defendant

General Motors, LLC is to file an answer or other responsive pleading by no later than August 4, 2026.

Moving party is ordered to give notice.